

RMG-201

Denim & knitwear manufacturer exporting to EU buyers
garments · Gazipur, Dhaka Division

SEEKING	INSTRUMENT	VERIFICATION PROGRESS	REVENUE
₳1.5–2.5 crore	Equity (minority)	4/5	₳18–22 crore/yr

OVERVIEW

A 12-year-old export-oriented garment manufacturer based in Gazipur, producing denim bottoms and knitwear for mid-market European brands. The factory runs on a single production line across two shifts, holds long-standing relationships with two EU buying houses, and has never missed a shipment deadline in the last three years. The founders are two brothers who started as jobbers in 2014 and built the operation debt-light through retained earnings.

BUSINESS MODEL

Cut-make-trim (CMT) contracts with two EU buying houses, 9–11 month order cycles, letter-of-credit backed payments. The second line would add sweater/knit capacity to enter winter orders.

FINANCIALS

Revenue ₳18–22 crore/yr with 14–17% EBITDA margin the last three years. Receivables run 45–60 days (typical for EU buyers). Total debt is modest (a single machinery lease). Cash flow covers operations comfortably; the expansion is about capacity, not survival.

Full documents & identity unlock after registration + NDA.

TEAM

380 workers (68% women), 14 mid-level supervisors, a full-time compliance officer, and an in-house QC team of 9. Founder-led management: one brother runs production, the other handles merchandising and finance.

USE OF FUNDS

Second production line machinery	62%
Working capital for fabric inventory	24%
Compliance & worker safety upgrades	9%
Contingency buffer	5%

WHAT OUR ADVISORS NOTICED

Strengths: verifiable buyer contracts, disciplined delivery history, and honest bookkeeping through a professional accountant. Watch-outs: buyer concentration is real — the second line should target at least one new market; energy costs are hedged only partially by a solar rooftop plan.

KEY RISKS

- 1. Two EU buyers generate ~60% of revenue
- 2. Energy cost volatility affects margins
- 3. Expansion requires new machinery capex

Verification reduces risk. It does not remove it.

ILLUSTRATIVE SCENARIOS

Equity — exit model · 5-year view · modeled on the midpoint ticket: ₹2 crore

Downside	growth -5%/yr · exit 0.60× · 5 yrs	₹93 lakh	0.46×
Base	growth +10%/yr · exit 1.00× · 5 yrs	₹3.2 crore	1.61×
Upside	growth +18%/yr · exit 1.25× · 5 yrs	₹5.7 crore	2.86×

Illustrative listing — not a live offer.

This summary is for information only. Read the full risk summary before any decision. Investments can lose value.

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